

DISSENTING OPINION BY JONKHEER VAN EYSINGA.

[*Translation.*]

The Belgian Application relies on the Bulgarian and Belgian declarations of July 29th, 1921, and September 25th, 1925, accepting the jurisdiction of the Court under Article 36 of the Statute and also on the Treaty of conciliation, arbitration and judicial settlement of June 23rd, 1931.

The adduction of these two sources of jurisdiction confronts the Court with the problem of concurrent sources of jurisdiction, a problem which became of practical importance more especially when the jurisdiction of the Court under Article 36 of the Statute was added to that of other tribunals provided for in already existing treaties. The importance of the problem was pointed out when the Court first entered upon its duties at the beginning of 1922 by van Vollenhoven in an article published in that year in the *Rechtsgeleerd Magazijn* and reproduced in the second volume of his *Verspreide Geschriften* (1934, pp. 559 *et seq.*). Afterwards, the problem was further complicated by the conclusion of treaties of judicial settlement subsequent to acceptance of the Court's jurisdiction under Article 36 of the Statute and by the General Act of Geneva of September 26th, 1928. In these circumstances it is understandable that the problem should have attracted the attention of several other writers.

In the present case it will suffice to examine the question what is the precise relation, as regards the Court's jurisdiction, between the Bulgarian and Belgian declarations under Article 36 of the Statute on the one hand, and the Treaty of 1931 on the other.

As the question here concerns the foundation of the jurisdiction of the Court, it is for the latter to form its own opinion on the subject.

The legal link resulting from acceptance of the Court's compulsory jurisdiction under Article 36 of the Statute came into existence on March 10th, 1926, when the Belgian declaration, which was some years later than the Bulgarian, came into force. By the operation of reciprocity, the only condition made in the Bulgarian declaration, the two conditions *ratione temporis* made in the Belgian declaration—the dispute must arise after March 10th, 1926, and in regard to situations or facts subsequent to that date—also hold good for Bulgaria. The same applies as regards the final condition made in the Belgian declaration: "except in cases where the Parties have agreed or shall agree to have recourse to another method of pacific settlement".

After the changes in the system of pacific settlement of international disputes brought about by the activity of the League of Nations and particularly by the General Act of Geneva and the draft bilateral treaties attached to that Act, Bulgaria and Belgium made another effort with a view to the pacific settlement of any disputes between them by signing the Treaty of 1931 which came into force on February 4th, 1933. This Treaty in fact involves a very considerable extension of that which was provided for by the Belgian and Bulgarian declarations under Article 36 of the Court's Statute.

Whereas the Bulgarian and Belgian declarations had in view the future legal disputes mentioned in Article 36 of the Statute, the Treaty of 1931 covers "All [future] disputes with regard to which the Parties are in conflict as to their respective rights" (Art. 4, para. 1), a conception which, according to paragraph 2 of this Article, covers more than the legal disputes mentioned in Article 36 of the Statute. And whereas the Belgian and Bulgarian declarations provided only for recourse to the Court, the Treaty of 1931 is more elastic and provides in Articles 5 to 7 three other methods for the pacific settlement of justiciable disputes: conciliation followed by arbitration, arbitration alone, and conciliation followed by a judicial settlement, while only if one of these three methods were not adopted would the Court alone decide the dispute.

Moreover, the Treaty of 1931 is not restricted to the pacific settlement of legal disputes in the broad sense indicated in Article 4. The Treaty also provides for the pacific solution of "[future] disputes of every kind which may arise between the High Contracting Parties". In so far as such disputes are non-justiciable, they are all, without exception, to be referred to conciliation (Arts. 8-23) and if need be to arbitration (Arts. 24-31).

The condition made in the Belgian declaration that a future dispute must arise "in regard to situations or facts subsequent to ratification of the declaration" has disappeared in the Treaty of 1931; on the other hand, recourse to diplomacy (Art. 1) and to the national administrative or judicial authorities (Art. 3) must be exhausted before the Parties can appeal to one of the procedures provided for in the Treaty; the two last conditions, which are new, are perfectly intelligible having regard to the very great extension of the system of pacific settlement of international disputes represented by the Treaty of 1931.

It would seem already to follow from the foregoing comparison between the Bulgarian and Belgian declarations and the articles of the Treaty of 1931, that the two countries, in concluding the Treaty, intended to develop very considerably the system for the pacific settlement of any disputes between them. And, with regard more particularly to justiciable disputes, the

two countries not only extended the scope of this category of disputes but also modified the method for their pacific settlement.

The new scope imparted by the two countries to the pacific settlement of any disputes between them is also apparent from the preamble to their Treaty of 1931. In this preamble, the two High Contracting Parties refer to "the recommendation of the Assembly of the League of Nations in its Resolution of September 26th, 1928, that all States should conclude conventions for the pacific settlement of international disputes", and they consider "that the faithful observance, under the auspices of the League of Nations, of methods of pacific settlement renders possible the settlement of all international disputes". It seems difficult to imagine that two States who, animated by this spirit, conclude a new agreement which carries much further the development of the system for the settlement of their disputes, should not have intended to apply the new agreement and the new agreement only so long as it remained in force.

Moreover, the Belgian declaration of September 25th, 1925, which, as has been stated, also holds good for Bulgaria, explicitly provides for such a situation when it concludes with the words: "except in cases where the Parties have agreed or shall agree to have recourse to another method of pacific settlement". It follows from this conclusion of the Belgian declaration that that declaration is intended to be subsidiary; it is not to apply when and in so far as another method of pacific settlement has been established, and as has been explained above, the Treaty of 1931 does in fact establish another method of pacific settlement for the legal disputes contemplated by the Bulgarian and Belgian declarations.

One is struck by the lack of consistency in the manner in which the problem of the simultaneous existence of different sources of the Court's jurisdiction has been envisaged on the Belgian side in this case.

The letter of the Belgian Minister in Sofia of June 24th, 1937, in which it is proposed by Belgium that the dispute should be settled by the International Court, is based only on the Treaty of 1931. The letter only refers in parenthesis to the Bulgarian declaration of 1921 and not to the Belgian declaration which it would have been necessary to do—and not in parenthesis—if the Belgian Government had intended to found its proposal on the two declarations.

On the other hand, the Belgian Application adduces both the declarations under Article 36 of the Statute and the Treaty of 1931. Both Belgium and Bulgaria proceed with their arguments on these lines but without clearly stating the problem of the concurrent sources of jurisdiction. The calm was broken when Counsel for the Belgian Government, on the morning of

March 1st, said that the Treaty of 1931 alone should be applied during the period of its existence (Feb. 4th, 1933, to Feb. 4th, 1938) and that only before and after that period were the Bulgarian and Belgian declarations applicable—in other words, he reverted to the precise attitude of the Belgian letter of June 24th, 1937. In the afternoon the Belgian Counsel felt obliged to revert to the standpoint of the Belgian Application which, finally, was vigorously supported, without however convincing me, in the Bulgarian Agent's oral reply. It is however just possible that there may be a shade of difference between the standpoint of the Belgian Counsel and that of the Bulgarian Agent.

This inconsistency in the Belgian attitude with regard to a problem which is fundamental in the present case is especially surprising because it has always been the practice of Belgium, in making the declaration of September 25th, 1925—which was subsequently adopted by many other governments—as well as in adhering to the General Act and in signing a large number of treaties with or without the second condition *ratione temporis* (in regard to situations or facts subsequent to ratification) of the 1925 declaration, to be perfectly plain and precise.

To try to apply at one and the same time two systems the second of which was adopted precisely in order to modify the first seems a difficult thing to do and one which must necessarily lead to results which in themselves show the inconsistency of such an attempt. I will point out one of these results. The second condition *ratione temporis* (in regard to situations or facts subsequent to ratification) of the Belgian declaration applies with regard to the legal disputes enumerated in Article 36 of the Statute. If one seeks to apply both the Belgian declaration and the Treaty of 1931, this condition remains applicable for the legal disputes of Article 36 of the Statute but is not so for the other legal disputes covered by Article 4 of the Treaty. Is it possible to imagine that the two countries intended this?

It follows from the foregoing that the jurisdiction of the Court in this case, which began when the Treaty of 1931 was in force, must be envisaged solely in the light of that Treaty.

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The Belgian Application, setting aside point B, asks the Court to declare that Bulgaria has failed in her international obligations as the result of three distinct actions on the part of her administrative, judicial and legislative authorities. Bulgaria denies the alleged failure, and her chief argument is that the three actions in question fall solely within the domestic juris-

diction of Bulgaria and are therefore outside the jurisdiction of the Court, and the latter is asked by Bulgaria to give judgment to this effect. Besides this ground for the preliminary objection, Bulgaria puts forward three other grounds which are all included in her one objection to the jurisdiction. It is not easy to appreciate the precise intention of the Bulgarian Memorial which also speaks of the question of admissibility as well as that of jurisdiction. In this Note the Bulgarian Memorial is regarded as presenting a single preliminary objection to the jurisdiction which really consists of four objections, two of which are in the nature of objections to the admissibility of the Application.

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In the first place, Bulgaria objects that the Belgo-Bulgarian dispute has not arisen in regard to situations or facts subsequent to March 10th, 1926, and that consequently the Court has no jurisdiction. Since this objection is based on the text of the Belgian declaration of September 25th, 1925, and not on the Treaty of 1931, which does not contain this condition *ratione temporis*, the Court cannot entertain it.

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Secondly, Bulgaria—this time on the basis of the Treaty of 1931—adduces the non-exhaustion of local remedies, to the exhaustion of which Article 3 of the Treaty of 1931 subordinates the institution of proceedings. Here again the Bulgarian Memorial speaks of lack of jurisdiction, since if the Court accepted the Bulgarian argument, Belgium would not be in a position to return to the Court on the basis of the Treaty of 1931 which ceased to be effective on February 4th, 1938. But since Belgium would in that case be entitled to bring a suit on the basis of the Bulgarian and Belgian declarations of 1921 and 1925, this is an objection as to the admissibility of the application and it has been so described more than once by the Bulgarian representative.

It is common ground that the subject of the dispute between the two States, in so far as A, Nos. 1 and 2, of the Belgian Application is concerned, is the same as the subject of the dispute between the Belgian Company and the Municipality of Sofia, and that, accordingly, Article 3 of the Treaty of 1931 applies. It is also common ground that on March 27th, 1937, the Bulgarian courts had adjudicated in first instance and on appeal and that the Bulgarian Prime Minister, on August 3rd, 1937, stated that the Bulgarian courts had already had occasion to give their decision. But it is also true that the Belgian

Company on June 23rd, 1937, appealed to the Court of Cassation and that the Belgian Government's Application was filed with the Court on January 26th, 1938, that is to say before the Court of Cassation had adjudicated, which it did on March 16th, 1938, rejecting the appeal in its entirety.

On behalf of Belgium it has been said that the expression "decision with final effect" in Article 3 of the Treaty of 1931 does not cover the exceptional case of an appeal in cassation. In this connection it may however be asked why the Belgian Company defends its rights so energetically: for the very reason that it considers them to have been infringed. And why does the Treaty of 1931, like so many other treaties of the same kind, stipulate in Article 3 the condition respecting exhaustion of local remedies? Because the contracting Parties did not intend that an international court should adjudicate before the municipal courts had had an opportunity of redressing the alleged breach of the law. In that case it does not seem to be possible to exclude from these municipal courts the Court of Cassation whose sole or in any case main task is precisely to ensure that the law has not been violated.

Accordingly, the final decision of the Bulgarian municipal courts had not been given when the Belgian Application was filed. It was given some weeks later, on March 16th, 1938. What would now be the situation if the Court had upheld the Bulgarian objection as to admissibility? The Belgian Government might then at once re-submit its Application on the basis of the declarations under Article 36 of the Statute, since by then the remedies of Bulgarian municipal law would have been exhausted more than a year previously. In these circumstances it seems that it would be a pure formality to uphold the objection based on the local remedies rule, at a moment when these remedies have long been exhausted, and on the ground that at an earlier moment they had not yet been exhausted.

It has been said that nevertheless, as long ago as August 3rd, 1937, the Bulgarian Government opposed the submission of the dispute to the Court until a final decision had been rendered by the Bulgarian courts. Is that true? What the letter of the Bulgarian Prime Minister of August 3rd, 1937, says is that the Bulgarian courts have exclusive jurisdiction. Bulgaria does not want the Hague Court either before or after the exhaustion of local remedies. But since Belgium had said that she intended to refer the case to the Court under the Treaty of 1931, Bulgaria replies by adducing Article 3 of that Treaty—which she immediately afterwards denounced—but she does so in terms which leave no doubt that she does not oppose the submission of the case to the Hague Court *before the remedies afforded by the local courts have been exhausted*—which indeed

had already given their decision according to the letter itself—but the submission of the case to the Court *at all*. Accordingly, the special agreement proposed by Belgium was out of the question. That, it seems to me, is the meaning of the Bulgarian letter of August 3rd, 1937.

It follows from the foregoing that the objection consisting in the non-exhaustion of local remedies should not be accepted by the Court.

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Bulgaria objects in the third place that the Belgian Application cannot be entertained in so far as it asks the Court to say that the State of Bulgaria has failed in its international obligations by the promulgation of the law of February 3rd, 1936, of which Article 30, paragraph C, establishes a special tax on the distribution of electric power purchased from undertakings not subject to tax.

The law of 1936 remained outside the scope of the disputes upon which the Court of Cassation adjudicated as the ultimate Bulgarian court of appeal, and the Belgian Government was informed of the grievance arising out of this law only after the failure of its intervention in regard to the decisions rendered by the Bulgarian courts.

The Bulgarian Memorial gives two reasons why the Belgian Application is, in its contention, inadmissible in so far as concerns the law of 1936.

In the first place this Belgian claim, it is said, never formed the subject of efforts to reach a settlement through diplomatic channels as provided in Article 1 of the Treaty of 1931 upon which the Belgian Government founds the jurisdiction of the Court. On this point the Belgian attitude is not quite consistent and it is to be supposed that there are reasons why, on the Belgian side, it was preferred not to produce proof that diplomatic methods had in fact been exhausted. However that may be, the Belgian Agent, at the hearing on March 1st, 1939, concluded by saying that he was in a position to produce proof that diplomatic negotiations had been unsuccessfully tried. Accordingly the Belgian Agent definitely offered to produce proof but left the Court to decide whether he should do so or not. In these circumstances it seems difficult to draw any conclusion detrimental to Belgium from the non-presentation of the proof offered.

In the second place, according to the Bulgarian Memorial, the Belgian Company had not had recourse to any local means of redress with regard to the claim respecting the law of 1936. The Bulgarian Memorial says on this subject that there was not even a dispute in the legal sense, so that Belgium did not observe Article 3 of the Treaty of 1931 which requires not

only that there must be a dispute falling within the competence of the Bulgarian judicial or administrative authorities but also that there must be a decision with final effect given by these authorities, in order to give rise to a dispute between the two States under the Treaty of 1931.

In this connection it should be observed that it has not been established that there exist any judicial or administrative authorities, within the meaning of Article 3 of the Treaty of 1931, to which the Belgian Company could have had recourse with a view to securing the modification of the law of 1936. Apart from this however the dispute in this case is not one in which Belgium has taken up the claim of its national against the Bulgarian authorities, but a dispute in which Belgium directly impugnes a legislative act of the State of Bulgaria. And, to use terms borrowed from the Court's jurisprudence, a dispute, a disagreement or a divergence of opinions on a point of law or of fact—a contradiction or opposition of legal views or interests—exists as soon as one of the governments concerned states that the attitude adopted by the other government conflicts with its own views. (Judgment No. 2 in the *Mavrommatis* case, p. 11; Judgment No. 6 in the case concerning certain German interests in Upper Silesia, p. 14.)

It has been said that Bulgaria objects that the Belgian Government's claim respecting the law of 1936 is inadmissible on the ground that the claim did not form the subject of a dispute between the Governments and prior to the filing of the Belgian Application. Apart from the fact that this question could only have been cleared up if the Belgian Agent had produced the proof which he had offered regarding the exhaustion of diplomatic methods, it should be observed that, as appears from what has already been said, the Bulgarian Government did not raise this objection in its Memorial. In their oral statements, the Bulgarian Agent and Counsel also adduced a number of arguments in addition to the two arguments contained in the Bulgarian Memorial, but it is unnecessary here to dwell on these additional arguments which include the argument which dominates the whole attitude taken up by Bulgaria in this case and which will be dealt with at the end of this Note, namely that legislative acts fall within the exclusive jurisdiction of Bulgaria. But the argument that there was no dispute between the two Governments before the filing of the Belgian Application is not to be found in the additional arguments any more than in the Bulgarian Memorial.

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I now come to the fundamental preliminary objection to the jurisdiction raised by Bulgaria: namely, that the impugned actions of the administrative, judicial and legislative authorities all fall within the exclusive jurisdiction of Bulgaria.

With regard to this aspect of the allegation of lack of jurisdiction, the following observations are called for.

The subject of the dispute is stated in the Application and consists in an alleged failure by Bulgaria to fulfil her international obligations. In the dispute the two Parties are in conflict as to their respective rights: the alleged failure to fulfil international obligations, on the one hand, and alleged exclusive jurisdiction, on the other. Accordingly, the dispute comes under Article 4 of the Treaty of 1931.

Bulgaria recognizes the jurisdiction of the Court to declare that the impugned actions of the administrative, judicial and legislative authorities all fall exclusively within the domestic jurisdiction of Bulgaria. She even insists upon it when she asks the Court to declare that it has no jurisdiction to entertain the Belgian Application. A decision to the effect that the actions of the administrative, judicial and legislative authorities complained of all fall within the domestic jurisdiction of Bulgaria would require that the Court should undertake the same investigation as that asked for in the first place by the Belgian Application when it asks the Court to declare that the State of Bulgaria in consequence of these actions has failed in her international obligations. For, before it could adjudicate on the question whether Bulgaria has failed in all or some of her international obligations contemplated in the Belgian Application, the Court would have to decide if Bulgaria had any international obligations in relation to the acts complained of or whether, on the contrary, these acts fall solely within the domestic jurisdiction of Bulgaria. It follows that an examination of Bulgaria's fundamental preliminary objection to the jurisdiction would entail an examination of the merits and that, consequently, this objection does not possess the nature of a preliminary objection and must be rejected, though Bulgaria could take it up again as a plea in defence.

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The foregoing observations point to the rejection of the four preliminary objections, while at the present stage of the proceedings the Court is not called upon to adjudicate on paragraph 2 of the Bulgarian submissions.

(*Signed*) V. EYSINGA.